TOPIC 3 · ECONOMIC ISSUES

ABC News
2 Nov 2026

Banks see slower growth and higher unemployment, but still expect a hike

NAB and CBA cut their growth forecasts to about 1% and lifted their unemployment forecasts, while still expecting inflation to stay above target. It is a textbook stagflation risk.

WHAT HAPPENED

- **NAB** cut 2027 GDP growth to 1.0% and expects unemployment to reach 5.4% by end-2027.
- **CBA** cut growth to about 1% by mid-2027 (from 1.8%) and raised its unemployment forecast to 5.1% (from 4.8%).
- **Inflation:** CBA expects trimmed mean inflation to stay at or above 3.5% until at least mid-2027, above the 2–3% target.
- **Wages:** CBA expects wage growth to slow to 2.9% by late 2028.

KEY TERMS

Stagflation: High inflation combined with weak growth or rising unemployment.

Internal balance: Sustainable growth with full employment and low, stable inflation.

Trimmed mean: Underlying inflation measure that removes extreme price changes.

BY THE NUMBERS

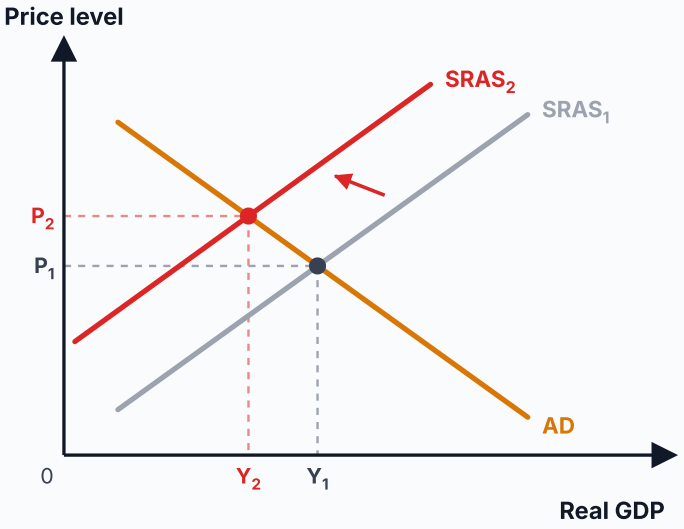
1.0%
NAB 2027 GDP growth forecast

5.4%
NAB unemployment forecast, end-2027

5.1%
CBA unemployment forecast (was 4.8%)

≥3.5%
CBA trimmed mean to mid-2027

DIAGRAM Supply shocks create stagflation



Higher fuel and construction costs shift **$SRAS_1$ to $SRAS_2$**. The price level rises from P_1 to P_2 while real GDP falls from Y_1 to Y_2. Higher inflation and weaker growth together create a dilemma for policymakers.

Diagram is illustrative, not to scale.

Exam angle: Raising rates to fight supply-driven inflation **deepens the slowdown**. This is a key limitation of monetary policy.

FLOW CHART The chain of cause and effect

Cost shocks and rate rises → Spending and investment slow → Growth falls to ~1% → **Unemployment rises to 5%+**

SYLLABUS LINK

Topic 3 – economic growth, unemployment and inflation, and the conflict between objectives.

TRY THIS

Explain why policymakers find it difficult to achieve internal balance when inflation rises while growth slows. **(5 marks)**

Sources: ABC News – business live blog, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/asx-markets-business-live-news-nov-2/107334212